



September 13, 2024

Office of Governor Gavin Newsom
1021 O Street, Suite 9000
Sacramento, CA 95814

RE: VETO REQUEST – AB 3048

Dear Governor Newsom:

On behalf of the advertising industry, we respectfully ask that you **VETO** AB 3048.¹ We and the companies we represent, many of whom do substantial business in California, strongly believe consumers deserve meaningful privacy protections supported by reasonable government policies. However, AB 3048 is unnecessary, ambiguous, and would significantly harm healthy market competition that benefits California consumers and the economy. The bill also ignores clear statutory text that was approved by the voters of California via ballot initiative and threatens to overburden the California Privacy Protection Agency (“CPPA”) with yet another regulatory directive at a time when the agency is already bogged down with several other privacy-related regulatory initiatives. We therefore ask you to **VETO** AB 3048.

- **AB 3048 is unnecessary.** California consumers already have widespread access to opt-out preference signals in the marketplace. Consumers can use browsers that enable such signals or download extensions or other technologies that allow them to set such signals. AB 3048 is therefore unnecessary as all Californians who wish to cast an opt out preference signal already have tools at their disposal to do so.
- **AB 3048 ignores clear legislative text, approved by California consumers via ballot initiative, making opt out preference signals optional rather than mandatory.** AB 3048 would essentially enshrine into law the CPPA’s erroneous interpretation of clear legislative text under the California Consumer Privacy Act of 2020 (“CCPA”) in its regulations to implement that law. The CCPA itself clearly states that opt out preference signals are optional for businesses to observe.² Under the law, businesses may either provide a footer link to enable consumers to opt out of sales and sharing *or* to allow consumers to opt out via an opt-out preference signal. Through regulations, the CPPA turned this option on its head by mandating that businesses honor opt-out preference signals regardless of whether the business provides an opt out means via a footer link. Through its sponsorship of AB 3048, the CPPA looks to further solidify this position by taking its original extralegal interpretation of the CCPA one step further

¹ California AB 3048 (2023-2024 Reg. Sess.), located [here](#).

² According to the CCPA, businesses “**may elect**” to either (a) “[p]rovide a clear and conspicuous link on the business’s internet homepages, titled ‘Do Not Sell or Share My Personal Information’” **or** (b) allow consumers to “opt out of the sale or sharing of their personal information... through an opt-out preference signal sent with the consumer’s consent by a platform, technology, or mechanism....” Cal. Civ. Code §§ 1798.135(a), (b), (b)(3). The CCPA therefore gives businesses the choice to either allow consumers to opt out through a do-not-sell link on their homepage(s) or through opt-out preference signals.

by mandating that businesses must support opt-out preference signals for all browsers and mobile operating systems. The people of California should not be forced to cede their explicit intentions, as set forth in 2020 in Proposition 24, the ballot initiative that voters approved to enact the current version of CCPA, to a state agency in this manner.

- **AB 3048 is ambiguous and harmful to healthy market competition.** AB 3048 would require browsers to permit consumers to send opt out preference signals to all “businesses with which the consumer interacts through the browser.”³ This language is ambiguous, as it does not clarify whether signals must also be sent to and effective on the browser that offers the signal itself. Mandating that browsers and mobile operating systems deploy and maintain opt-out preference signals, *effective on all other businesses but the browsers and mobile operating systems themselves*, would create anti-competitive results caused by how these intermediaries implement AB 3048’s requirements.
- **AB 3048 tasks the CPPA with issuing regulations for standards that should be set by the legislature.** AB 3048 would give the CPPA new authority to issue regulations as necessary to implement its requirements and to update definitions of key terms such as “browser” and “mobile operating system.”⁴ This grant of regulatory authority is too broad. The California legislature—not an administrative agency—should be the body that sets the foundational premise of who is to be regulated under applicable law. AB 3048 should not be enacted because the bill provides little to no direction to guide or restrain the CPPA regarding issues of key significance, such as who is subject to the bill’s terms.
- **AB 3048 would delegate regulatory authority to the CPPA at a time when the agency is overburdened with at least five other privacy-related regulatory initiatives.** AB 3048 would delegate to the CPPA additional regulatory authority at a time when the agency is already mired with regulatory processes in several other areas, such as automated decisionmaking technology, cybersecurity audits, data broker registration requirements, regulations to implement the California Delete Act, and updates to existing CCPA regulations. Adding yet another regulatory directive to the CPPA’s agenda, with numerous pending deadlines, would overburden the agency, especially when it already has several other regulatory processes ongoing.

Bills like AB 3048 that are likely to impact both a large volume of consumers and a great portion of California’s economy should be carefully calibrated to ensure strong consumer protection while allowing beneficial offerings that depend on data to persist. While we agree that Californians deserve privacy protections supported by reasonable laws and responsible industry practices, AB 3048 would codify unnecessary and ambiguous restrictions that will hinder Californians’ ability to access vital services in the marketplace.

We strongly urge you to **VETO AB 3048.**

³ *Id.* at Sec. 1, Cal. Civ. Code § 1798.136(a)(1) (emphasis added).

⁴ *Id.* at §§ 1798.136(b), (c), and (d).



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Thank you in advance for your consideration of this request.

Sincerely,

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